

Oversea-Chinese Banking Corporation Limited

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FH1 2025 Earnings Call Transcripts

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S&P Global Market Intelligence Estimates

	-FY 2025-			-FY 2026-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS
EPS Normalized	1.58	NA	NA	1.66
Revenue (mm)	14274.69	NA	NA	14745.20

Currency: SGD
Consensus as of Aug-01-2025 5:13 PM GMT

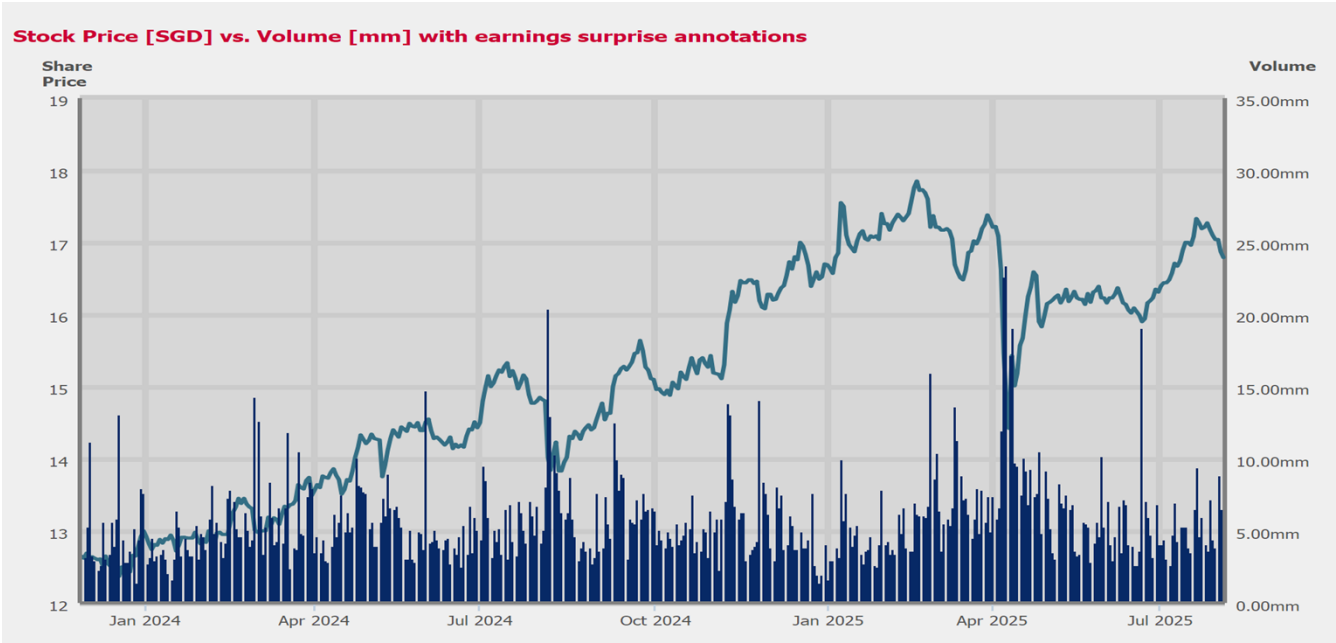


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Call Participants

EXECUTIVES

Chin Yee Goh

Group Chief Financial Officer

Ching Ching Koh

Head of Group Brand & Communications

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

Sunny Quek

Head of Global Consumer Financial Services

Teck Long Tan

Executive VP, Head of Global Wholesale Banking & Deputy CEO

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Presentation

Ching Ching Koh

Head of Group Brand & Communications

Okay, we're a bit early, but I guess we can start. So good morning, ladies and gentlemen. Welcome to OCBC's Second Quarter 2025 Results Briefing. On our panel this morning, we have our group CEO, Ms. Helen Wong; and our newly minted Deputy CEO, Mr. Tan, Teck Long; our CFO, Ms. Goh, Chin Yi; Mr. Kenneth Lai, our Head of Global Markets; and then to Helen's left -- right, we have Mr. Sunny Quek, our Head of Consumer Banking; as well as our Group CEO, Mr. Yi Sin Moo, sorry.

So I guess today, I'm just a bit too excited because we have our CEO and Deputy CEO together. All right. So I think Chin Yee will take over to go through our results, and thereafter, we will take Q&A. Chin Yee, please.

Chin Yee Goh

Group Chief Financial Officer

Okay. Our first half 2025 group net profit was SGD 3.7 billion, 6% lower than last year's record high level. Total income was little changed at SGD 7.2 billion. The decline in net interest income was mostly compensated by growth in noninterest income, reflecting the resilience of our diversified franchise. Net interest income was down 5% to SGD 4.63 billion against the backdrop of declining interest rates. I will spend more time to talk about net interest income in a later slide. Noninterest income rose 8% to SGD 2.57 billion, lifted by broad-based fee income growth and higher trading income.

Expenses were well managed and controlled even as we increased our strategic spending to invest for growth. Cost-to-income ratio stayed below 40% at 38.9%. We achieved solid year-on-year growth in loans and deposits, up 7% and 10%, respectively. Asset growth remained resilient with NPL ratio at 0.9%. Total credit costs at an annualized of 18 basis points. Capital position remained strong. Transitional common equity Tier 1 ratio was 17% and fully phased-in ratio was 15.3%. In line with our target ordinary dividend payout ratio of 50%, interim ordinary dividend of SGD 0.41 was declared.

Moving on to second quarter performance. Group and banking operations second quarter net profits were 7% below last year, mainly due to lower net interest income. Against the previous quarter, banking operations net profit was up 2% from higher operating profit and lower allowances. At group level, net profit moderated by 4% as GEH second quarter performance was impacted by lower insurance income.

Our three key business pillars of banking, wealth management and insurance provide diversified earnings base. Banking business continued to see customer-driven growth, reflected by rising loans and deposits volume. Net interest income came off from prior year's peak level, but mostly compensated by double-digit growth in our noninterest income. We are seeing results of our focused investment in wealth management business. Our wealth management income was up 4% to a new high of SGD 2.66 billion, contributing 37% to our group total income. Banking AUM rose 11% year-on-year to record SGD 310 billion, driven by net new money inflows across all our wealth segments as well as positive market valuation.

Our first half '25 net new money inflows were SGD 9 billion, with SGD 4 billion in second quarter alone. For insurance, first half profit contribution from GEH grew 10% to SGD 553 million. GEH higher contribution was driven by improved investment performance from its shareholders' funds and our increased stake in GEH following our voluntary general offer last year. GEH new business embedded value or NBEV was 16% higher and NBEV margin improved to 44.7%. This reflected GEH strategic shift towards higher-margin products.

Moving on to net interest income in Slide 10. Second Q net interest income decreased 3% Q-on-Q to SGD 2.28 billion. Average assets rose 2%, but this was more than offset by a 12 basis point decline in NIM. We have included additional analysis on this slide to provide more color on NIM. The main factor was the drop in loan yields, which impacted group NIM by 17 basis points. This was largely due to the sharp fall in Sing dollar and Hong Kong dollar benchmark rates during second quarter. Reduction in loan yields outpaced the drop in deposit costs, which repriced much slower than loans.

Close to half of our loan book are denominated in Sing dollar and Hong Kong dollar. About 80% of our Sing dollar loans are on floating rates and nearly all our Hong Kong dollar loans are on floating rates. In the second quarter, 1-month and 3-month compounded SORA dropped more than 50 basis points and HIBOR fall was even sharper. 1-month and 3-month HIBOR rates were down around 300 basis points and 220 basis points, respectively.

Strategic liquidity deployment into income-accretive, high-quality assets during our first quarter also led to a small drag on NIM, about 2 basis points. Now our June exit NIM was 1.88%. We expect upward inflection from the exit NIM as we see flow-through from ongoing deposit rate cuts. As at end June, NIM sensitivity based on 100 basis point drop in rates across our 4 major currencies of Singapore dollars, Malaysian ringgit, Hong Kong dollar and U.S. dollars was around 12 basis points on an annualized basis. For the remainder of this year, we maintain our assumption of 3 Fed rate cuts. But with the unexpected sharp drop in SORA and HIBOR that I mentioned earlier, we now expect FY '25 NIM to be in the range of 1.9% to 1.95%.

Moving on to noninterest income. Our first half noninterest income grew 8% year-on-year to SGD 2.57 billion, lifted by strong growth in fee income, trading income as well as higher realized gains from sale of fixed-income securities. This more than compensated for a 9% decline in insurance income. The lower insurance income was largely due to 2 factors: mark-to-market impact of decline in interest rates on valuation of insurance contract liabilities and revaluation of private equity holdings in our insurance funds. More details have already been shared in GEH result announcement earlier this week. I will cover more details on fee and trading income in the next 2 slides.

First half fee income grew 19% to SGD 1.13 billion from broad-based growth, underpinned by increased customer activities. From the chart, we can see upward trajectory in fee income over the past few quarters, supported by sustained growth momentum in our wealth management fees. First half wealth management fees rose 25% to SGD 548 million, the highest level in the past 3 years. Our strong performance was driven by growth in private banking bancassurance, unit trust as well as structured deposits. Compared to a year ago, customers increased deployment of funds into investments. Now around 60% of our AUM are placed in investments across all our wealth segments.

First half '25, trading income was up 6% to SGD 771 million. Customer flow treasury income, which made up almost 80% of our trading income grew 10% to a record SGD 594 million. The growth was contributed by both wealth and corporate segments. We also saw higher treasury sales across all our key markets.

On costs, we continue to be disciplined in cost management. First half operating expenses rose by a modest 3%. Our cost-to-income ratio held below 40%. Second Q operating expenses was 2% lower Q-on-Q. Our overall loan portfolio quality remains sound. NPL ratio unchanged at 0.9%. We continue to stay highly vigilant, including conducting ongoing reviews of the potential impact of trade tariffs on our loan book. We have assessed that trade tariffs having first order impact on 3% of our loan book and 2/3 of our loan book are in sectors with strong domestic focus. We further stress tested our loan portfolio and assessed that our portfolio remained resilient.

First half '25 total allowances were SGD 326 million, up 4%, largely due to higher allowances for non-impaired assets. This included preemptive allowances set aside for trade tariffs and macro uncertainties as well as adjustments for macroeconomic variables updates attributable to a weaker economic outlook. Our first half total credit cost is at an annualized of 18 basis points. Second Q allowances declined 46% Q-on-Q from lower allowances for both non-impaired assets as well as impaired assets. The decline in allowances for non-impaired assets was mainly due to changes in credit risk profiles and exposures. These are partly offset by additional preemptive overlays as well as downward NEV adjustments in second Q.

NPA coverage ratio stood at 156% as at end June 2025. Allowances for non-impaired assets -- sorry, allowances for non-impaired loans were maintained at 0.9% of our total performing loans. Our loan portfolio remains well diversified across geographies and industries. On a constant currency basis, loans grew 9% year-on-year and 3% Q-on-Q to SGD 325 billion. Our robust year-on-year growth was underpinned by increased Singapore housing loans as we continued to build market share as well as higher non-trade corporate loans where we supported customers in sectors covering infrastructure, data centers as well as transportation.

Our sustainable financing loans continued to see high growth, rising 19% year-on-year to SGD 53 billion, now accounting for 16% of total group loans. Our group funding position remained strong, anchored by stable customer deposit franchise, which made up 80% of our funding base. Customer deposits grew 10% year-on-year and 1% Q-on-Q to SGD 407 billion. In particular, CASA deposits grew by SGD 26 billion or 14% year-on-year across both corporate and consumer segments. Our CASA ratio rose to 49.8%.

We maintained a strong capital position. Transitionally, CET1 ratio was 17%, 0.6 percentage points lower Q-on-Q, mainly due to payment of our FY '24 final ordinary and special dividends, which offset profit accretion. On a fully phased-in basis, CET1 ratio would be 15.3%. After paying our first half '25 interim dividend, pro forma CET1 ratio will be at 14.6%. Our Board has declared an interim dividend of SGD 0.41. This is in line with our target 50% ordinary dividend payout ratio. We remain committed to our previously announced SGD 2.5 billion capital return via special dividends and share buybacks over 2 years. This includes paying 10% of our FY '25 group net profit through a special dividend. Together with our target ratio of 50% dividend payout for ordinary dividend. This represents a total dividend payout ratio of 60% for FY '25.

With this, I end my presentation. Thank you very much for your attention. I will now hand the floor over to Helen. Helen, please.

Pik Kuen Wong*Group CEO & Non-Independent Executive Director*

Thank you, Chin Yee, and good morning, everyone, again. It's always a pleasure to have you all in so that we can do a review together on our performance and also have some time to reflect and also look ahead. Just would want to send an apology. You may hear that I'm coughing, I have a lingering cough, but I'm okay generally. But if I do have some coughing, so bear with me.

Allow me first to just delve a little bit deeper into our first half performance. So if we go to the first page, just want to say we continue to deliver a resilient set of results. This is with well-balanced earnings through -- even through a rather complicated economic cycle. A few points here. Indeed, we benefit from diversified earnings, as we said, with a strong noninterest income, cushioning the impact from declining interest rates. Chin Yee has expressed on how interest rates have shaped the movement of our NIM. But if you want to talk about this more, maybe later on, we can cover. And indeed, I think why we're resilient also reflect that we have been successful in executing our strategic initiatives to drive revenue growth.

I think you all remember, we talked about the 3-year plan of incremental revenue of SGD 3 billion from the period '23 to '25. And as at the first half of 2025, we have achieved nearly close to 90% of that SGD 3 billion. So it's probably a bit ahead of our schedule.

As shared by Chin Yee, our net interest income has also, in a way, declined, right, from the peak, reflecting the significant decline in Sing dollars and Hong Kong dollars benchmark rates. But we continue to see volume growth. You can see our loan exposure, loan expansion, though the pace has indeed moderated in recent quarters. Non-II has shown resilience backed by our efforts in driving our strategic priorities. We talked so much about building the wealth business and building the cross-border business linking up Greater China with ASEAN, where we are well positioned to serve our customers.

So on wealth management, I want to mention this is an important key business pillars under our plan. And of course, we have been seeing realization of the strategic efforts in growing our wealth business. I have Sunny and Jason here today as again, if you are more interested in the wealth business, I'm sure they're very happy to share some of the things that we have done that enable us to continue to grow and keep the momentum of the growth in our wealth fees across all the product channels. And indeed, this led to a 25% increase in wealth management fees year-on-year.

Wealth management income, as I said, we continue to grow that and AUM has also increased 11% from a year ago with continued momentum in net new money. I think that is important. We see that inflows across all wealth segments. And just to give you some breakdown. First half, we have net new money of \$9 billion, and this is a \$4 billion growth in the second quarter following \$5 billion growth in the first quarter. We also saw an increase in demand for diversified investment options. So clients interested in wealth planning advice and also alternatives investment as well. So this is a testament to how we have enhanced our capabilities and also expanded our RM pool. Remember, we talked about, in particular, for private banking, we are growing our RM in our 3-year plan. So this has helped to enhance the wealth management business all in all.

Trading income improved, largely driven by customer flow. This is the good part. And indeed, we have seen increased client activities. It all comes together when you talk about incremental revenue, of course, you have to have the initiatives and with a one group approach. But indeed, it is through a few years of working on serving the customer better across more geography, have volume growing, have more customers and more customer leading to demand for more and different products. And as we improve our channels, that's also helped. Clients continue to also actively hedge the exposures, including long-term rate hedging for infrastructure and also project finance transaction. So wealth is all the way for Sunny and Jason's business, but a lot of our growth is also not just for loans, but anything that related to the loan exposure, as I just mentioned.

So for GE or Great Eastern's insurance business, right, profit contribution 10% higher than a year ago. The business performance stayed resilient. I think Greg and Ronnie are in today. If you want to catch up with them, but they did already announce the results and talk about how they have performed and have a bit of forward-looking talking about strategy as well. So indeed, investment income also improved, right? And this is -- our growth in the contribution is also in part due to higher shareholdings gain from the VGO. So about the offer for Great Eastern, there's quite a lot of comments in the media and maybe I'll just take a chance to really reiterate OCBC's position on Great Eastern.

So if you ask me, I am happy. We are satisfied because we fulfilled our objective of gaining more economic interest in Great Eastern, right? So our objective, which we set, if I bring you back to 1 year, our objective when we set in our 2024 VGO announcement, right, was to increase our stake in Great Eastern with a will to delist. We did say that. We were successful in increasing our stake, so rising from 88.44% to 93.72%. So if the increase was substantial enough to result in a delisting, we welcome it. It did not, but it is also acceptable to us. This year, the delisting resolution was proposed by Great Eastern. And Great Eastern's plan and they have to resolve the 11-month trading suspension, right?

So OCBC supported the listing proposal with an exit offer, right? So we are consistent. But if the listing is not achieved, we already have the plan to support GE to resolve the suspension by opting to take only Class C shares. I think you know the whole proposal very well. I don't need to explain it. So the Class A shares is without the voting rights, right? So we maintain our economic interest, but help GE. Of course, we still need to see the result, but this is a plan to help GE to resolve the suspension, right?

So -- and also our strategy with Great Eastern has not changed. GE has always played an important role in OCBC, becoming a leading wealth management player in the region. And over the years, we have increased our stake. We deepened our integration and increased synergies with Great Eastern. And we will definitely have more to share as Greg continues to work very, very closely with every one of us in considering and planning for more synergies and collaboration working together. So -- and in the past, we already have built a more comprehensive and innovative suite of investment insurance and estate planning solutions to our customers. And Great Eastern likewise, have benefited with a very committed retail and commercial customer base for them to deliver their products, right? And with the increase in our shareholding in GE to 93.72%, we will continue to accelerate the synergistic work with GE as we grow as one integrated financial services group. So I just want to leave that on the comments on the GE, what happened recently.

So I just want to wrap up this page. Of course, cost-to-income ratio remained below 40%. Chin Yee talked about a tight management of costs, but we still want to enhance technology capabilities, especially in AI. So we maintain cost discipline and strong control on discretionary expenses. But for investment we need to put in, we continue to do so. Asset quality, of course, remained resilient. NPL ratio maintained at 0.9% for 5 quarters in a row and this is since June 2024. And of course, a lot of people talk about uncertainties due to the trade tariffs, and we haven't seen the end of it yet, but that has been impact. But I think we have been -- always been prepared. We look at tariff. We don't respond to tariff changes. We prepare ourselves. We prepare our customers for that. And I think the market was quite prepared, as you can see how market has rebounded since Liberation Day.

But having said all that, because of the uncertainty and the volatility, we did put aside additional ECL in both first and second quarter as the trade negotiations progressed, right? And this included overlays for businesses impacted by tariff or slowdown in global trade as well as adjustment for our MEV updates mostly from the change in GDP forecast, right? And we will continue to view overlay approach as the tariff negotiations progress. Currently, we do not see significant weakness in our portfolio, but do want to highlight that Hong Kong CRE remains a sector that we are closely monitoring and working with our customers to support them in tightening over this difficult time, right?

So continue to focus on tight underwriting criteria. We do close monitoring, proactively derisking our portfolio where appropriate. There are some spots that we grow our business better. I'll ask Teck Long to cover those later on. But with our resilient results and strong capital, indeed, we're keeping to our dividend policy of 50% payout ratio for the interim results.

Okay. So turning the page. We did say I think we do have stronger-than-anticipated first half results, and we expect second half to be more challenging though, right, because alongside being resilient, first half has benefited from the better-than-expected GDP growth across the region, right? So regional markets were also supported with front-loading activities ahead of the U.S. tariffs and government policy support. And -- but of course, we look into the second quarter, tariffs and heightened geopolitical tension have created uncertainty and challenges. And there could be further fragmentation of global trade. There could be potential inflationary impact from tariff shocks. This continues to cloud the operating environment in the second half. although we have a more calm first month of the second half. We remain though long-term positive on regional growth. Asia, we still say is the place to be and trade investment and wealth flows across ASEAN and Greater China region continue. We still see, as I said, pocket of growth opportunity in the region and our key markets.

And with that, I now invite Teck Long to share more on this.

Teck Long Tan

Executive VP, Head of Global Wholesale Banking & Deputy CEO

Good morning, everyone. I will start by sharing some thoughts on the tariff situation. I will use 2 words to describe the tariff situation, actually 3 words. The first word is uncertainty. So the impact we see in the business environment is really customers reevaluating their investment decision. This is what we see. But in terms of trading flows, it continue on a BAU basis. The second word I will use or the second phrase I will use to describe the tariff is chain reaction. That chain reaction hasn't fully manifested itself yet. So what we saw was that when the tariff charge on China products was very high at triple digit, we find that the merchandise from a major manufacturing country such as China, find its way to other markets.

And because of the sudden influx of merchandise products made in China, some of the local businesses suffered from this intense competition. So that was what happened. However, there's also a silver lining. A lot of businesses, especially in Singapore, they are

net importers. They import products, they import their raw materials for activities conducted in domestically. So like, for example, the construction industry can benefit from a lower cost of raw materials. So that's the silver lining.

So depending on how the shape of the tariff ends, we will -- there's a trade reaction, which currently is still developing. In terms of loan growth, you will have noticed that we actually registered, I would say, pretty healthy loan growth in the first half of the year. And if we focus on the loan growth post Liberation Day, it continued to be healthy. The one big contributing reason is that a lot of the loan growth, which we have been focusing on, the industry sectors actually derived their demand domestically or regionally. For example, data center project, for example, real estate in Singapore, for example, project financing. So that will continue to anchor our loan growth. Outlook-wise, for the next half of the year, we are still optimistic that we can continue our pace of loan growth, ending the year at about mid-single digit as per our guidance earlier. Thank you.

Pik Kuen Wong
Group CEO & Non-Independent Executive Director

Thank you, Teck Long. I just want to reemphasize that OCBC is well positioned to capture growth opportunities as we identify, and we will continue to use our deep presence in the region, supported with all our overseas network branches, and indeed, we're able to capture the opportunities because we continue to run a strong balance sheet and also a capital -- strong capital position. Over the years and continue to do so, we have been focusing on enhancing our capabilities, right, deepening our presence in our key growth markets.

A lot of you have talked to us over the last few years. You've seen the changes, you've seen the people, you've seen how we work together as a group, leading to a few good years of good results and also the incremental revenues that we talked about. So we hope all this also working together as one group, we position ourselves to weather any challenges due to uncertainty. And we want to remain and we will remain agile in navigating the challenges and be proactive and we'll pivot accordingly.

With this, let me turn to my last page and provide an update. You have all read it, but indeed, just saying that having reviewed the operating environment and outlook, we now expect our net interest income to come in slightly lower than the record levels achieved in 2024, right? And it will be -- the NII will be down by mid-single-digit percentage. So as mentioned by Chin Yee, we are guiding down the net interest margin, the NIM to be in the range of 1.9% to 1.95% in light of the current market conditions. Our loan yields likely will come down further, but will be mitigated by lower funding costs. So deposit cost savings expected to flow through from the third quarter following from interest rate reductions on our flagship accounts in Singapore, in particular. This is effective in May, and we have announced another cut in the August as well.

Loan growth, we want to maintain at mid-single digit. Cost-to-income ratio maintained at low 40s as we continue to exercise strict cost discipline. But again, it will depend on the income, right? But we will be very disciplined in maintaining our cost. Credit cost, we put it between 20 to 25 basis points, but we will continue to exercise proactive risk management. We will continue to focus on tightening underwriting criteria, a selection of clients, close monitoring and proactive derisking of portfolio where appropriate. And we remain committed to deliver the 60% dividend payout ratio, coupled -- remember, we still have the share buyback plan over a 2-year period together delivering a SGD 2.5 billion return of capital to our shareholders, of course, barring unforeseen circumstances.

Before we move on to Q&A, and before you ask, maybe I'll talk a bit about -- this is the first chance I talk about my retirement since the announcement about 3 weeks ago. Just want to say people ask me why and all that. And there's only one simple reason is I need more time to be with my family in Hong Kong. This is one simple reason and a very important reason. I actually advised the Board this thinking early last year, early last year. And why you have to start so early because the succession planning is a very serious thing. You cannot just say, I want to retire and I go the next day nor can you say I go in 6 months nor even can you say you go in 1 year and everything remain normal when we plan on this.

And indeed, the Board was supportive, of course, after quite some discussion, right, and we began the succession process. And of course, with the view only to decide on the retirement date after a successor is chosen and the approvals have been obtained, right? So you cannot say I want to retire in 6 months' time and then we turn out with a CEO with a magic wand. And that is not the case for CEO succession. So at OCBC, as I said, we take succession planning very seriously. And for key positions, we always have identified internal candidates, and we have also relevant development plans for all our candidates.

And indeed, as you said, when I took over as CEO, we also have some changes to the management team and quite a number of them are internally selected. And this is important because it ensure continuity, ensure stability and also alignment with our long-term strategic goals, right? And for succession to CEO, we have to look outside as well, right? Because this is only fair we find the best candidate and confirm the best candidate. And that's why we did have a comprehensive global search. And this was performed, and we identified potential external candidates as well. And the Board has finally, ultimately, and I want to say unanimously, considered

Teck Long as the most suitable candidate amongst all the candidates we have looked at. And that's why we come on to the approvals and working with the regulators and ultimately announced.

And I think it is also fine and right to say that between announcement to my retirement, we have 6 months, and we have Teck Long, who have already started to do more, but again, to have a very smooth handover as well. And Teck Long, as you know, most of you have met with him and talked to him. He has been our key member. He joined us for more than 3 years by now. And he's part of a very significant member in our whole corporate strategy. And we talked about so much about the trade flows linking up ASEAN and Greater China and building the team in the region. And Teck Long has really been there anchoring on the success of our One Group approach. And I have been placing a great emphasis on since I took office back 4.5 years ago, less than 4.5 years ago, but more than 4 years ago.

So Teck Long, as you would expect, will refine our strategy. He's very deep in looking at what's happening to the business, to the world, to where we are good in, what we can continue to improve, and I'm sure he will share more details next year. As you read from the announcement now I'll step down from my role as CEO. I will continue to serve as the Chairman of OCBC China and Director of CPC Hong Kong. That allows me to spend more time with my family in Hong Kong. But indeed, I want to remain linked and connected with OCBC and want to be committed to support OCBC's growth in these capacities. And while I have more time with my family in Hong Kong, I will come back quite often. And if you do see me on the street somehow, please say hi. I would like to catch up.

And I need to come back as well because I'm still a Board member of Enterprise Singapore. And I will come back because I will have family in Singapore somehow. But that's very private. But anyway, I want to -- sorry, I'm not getting married here. No, no, I'm not getting married in Hong Kong either. So I will have family members in Singapore, just what I'm trying to say.

I'd like to invite Teck Long to say a few words.

Teck Long Tan

Executive VP, Head of Global Wholesale Banking & Deputy CEO

Yes. I was also trying to interpret what Helen meant by family. Anyway, I feel very excited about my impending appointment to lead OCBC. It's a huge privilege for me to be given this opportunity because OCBC is a really very historic bank with a very, very long history. I have joined OCBC for more than 3 years. And even before that, I got an opportunity to meet Helen, and we had a lot of long and numerous conversations. And I find that we see a lot of things.

We have -- we share a lot of common perspective. And she is an indisputable expert in China matters. And because of my stint in China, there were a lot of things which we discussed and ideas which we exchanged. So the end result, I joined OCBC. So while we are in sync with many things, there's, however, one thing which is not in sync with Helen. And that is a very hot topic between the two of us. She don't take spicy food very well. So I'm always concerned when I choose restaurants to dine with her.

In terms of my thoughts about the OCBC franchise, I think we have a great platform. I think OCBC has one of the best platforms in Southeast Asia and Greater China. While we are all concerned about the economic headwinds and we worry about tariff. But structurally, if you think about it, this is a place to be. One, our GDP growth rate in this region is still one of the fastest in the world. When we talk about China slowdown, it slowed down at the rate of 5% growth. 5%, you translate a number, roughly it's about \$900 billion. To give you a perspective, every 4, 5 years, the value added by China at 5%, so-called slower growth equals to the whole ASEAN growth, which is at \$3.8 trillion today. So I think it's a good place to be in. And ASEAN is growing in a slow year, 4%, 5% in a fast year, maybe 6%, 7%. So it's still a very good region to be in.

I am a banker who started my career in Singapore. So I understand the ASEAN region very well. I also was based in China and helped to build the China franchise. So it was a very wonderful experience. Broadly speaking, for myself, I spent about 1/3 of my career in risk, 2/3 of my career in the front line. So I think in today's environment, I think I do have a very good insight on how to stay nimble and have the right risk reward relationship. So with every economic headwind we face, there will be opportunities for us, and we need to stay nimble.

Finally, I want to say one more thing, which is, I think, pretty unique about OCBC Group as a huge strength. We are actually an integrated financial services group. So there's still a lot of synergies which can be read from working together and closer collaboration. I think Helen has put us on the right track with the One Group strategy, of which I'm part of the management team. And this will serve a strong foundation for us to chart the next chapter of growth alongside with the rest of the management team in OCBC. Thank you.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

Thank you, Teck Long. Please feel free to throw him questions. But we'll pass the Q&A session to Ching Ching, please.

Question and Answer

Ching Ching Koh

Head of Group Brand & Communications

[indiscernible] put her hand first. I'll let [indiscernible] go first. [indiscernible] from Bloomberg.

Unknown Analyst

Congratulations on the big bid. And I would like to ask about Great Eastern. Are you still considering charging bancassurance fee on Great Eastern? This was mentioned some time before. So and second question would like to ask whether the tariff imposed today, the rates imposed today and also given that China is still under negotiations, are you still giving review on your book? And do you think the current preparations, including ECL, is it adequate? Are you going to increase that? And third one, I would like to hear Teck Long's view on the growth -- inorganic growth of OCBC and in which areas and regions that you want.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

Thank you. On Great Eastern, charging bancassurance is only one of the things that we keep our options open discussing with Great Eastern. But the emphasis is definitely on how we work closer together and realize some of the synergies that we can do together. And I think through this 1 whole year, and don't forget, I have been a Board member on GE for a while. So we also with Great Eastern having joined, time passed so far it's almost coming up to a year soon. So that is -- I assure you there's so much discussion and working together that I remain very positive about how we can deliver better results in the future together.

On the tariffs, yes, you mentioned that there is still China coming up. And last night, we see a few more conclusion. If we -- you see, how do we look at tariff, it's again, we look at it all the time. When we look at our portfolio, it's not a one stop to say that even if the tariff situation with China has been announced, it doesn't mean that we won't stop looking at the impact, right? So it is an ongoing process. We mentioned first half of the year already have some overlay. Will reconsider some more? It depends. It depends on the results on how we see the book and how we see market conditions. So nothing to share at the moment, but what we have done in the first half of the year, we're quite happy with. So I'll pass on to Teck Long to address the other question.

Teck Long Tan

Executive VP, Head of Global Wholesale Banking & Deputy CEO

Yes. I think the question is about how interested we are in inorganic growth. I would say that we are very interested in growing organically as well as inorganically. For organic growth, we want to continue to strengthen our competitive position in the market to serve our customers better. For inorganic growth, we are also looking at opportunities, but inorganic growth is opportunistic.

For any organic growth, my view is that it must fit 2 main criteria. One, it must fit our strategy; and two, it must be a reasonable cost. So we certainly don't want to overpay. I hope that kind of like give you some insights at this juncture.

Unknown Attendee

Can we take a question from the sell side? Maybe Aakash first, then I'll move on to you guys, I saw your hands.

Aakash Rawat

UBS Investment Bank, Research Division

Aakash from UBS. I wish you a very happy retirement, Helen, and congratulations, Teck Long and all the best.

The first question is just on asset quality. So this quarter, while generally, the NPL ratio was flat, but there was a bit of pickup in NPLs in the consumer private banking space, roughly SGD 150 million. So if you could share some more color on that. And then related to this, the Hong Kong banks that have reported have shown some renewed stress in the CRE space. So I just wanted to get your thoughts on why do you think this happened? Is there a chance this could happen to you in the coming quarters? That's the first question. And then I have a few follow-up questions.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

I think, Jason, you cover the first one. I think commenting on Hong Kong CRE, I ask Teck Long to do that.

Yi Sin Moo*Chief Executive Officer of Bank of Singapore*

Sure. So the increase in the NPLs relates to some of the loans that we've done in the Private Bank. To be fair, we are actually in line with our risk appetite, we've taken a prudent approach to these loans. We are still working through them. We are actually making very good progress. So we hope at some point in time that we will be able to write back. But it is just a few loans that sits within our book that we're being quite prudent in our approach and working them through, and we hope to be able to write that back pretty quickly.

Aakash Rawat*UBS Investment Bank, Research Division*

Could you say which market it is? And is it like margin loans? Or -- and is it a large number of clients or maybe just a few clients?

Yi Sin Moo*Chief Executive Officer of Bank of Singapore*

No, they're actually spread across a few. I'd rather not talk about the region just yet, but we're pretty confident on being able to recover a lot of this. So it's -- again, to be very clear, it's just us being prudent. It's not a loss cost for lack of a better term.

Teck Long Tan*Executive VP, Head of Global Wholesale Banking & Deputy CEO*

On the Hong Kong CRE situation, actually, it's not a new one to us. We have been tracking that market for quite a while. I think if you recall in the past sessions, I did talk a little bit more about Hong Kong. So we've been very prudent. Firstly, we have been proactively managing our exposure. The overall CIE exposure actually has come down for us in the more vulnerable segment.

Secondly, through the proactive management, we have been downgrading cases, which means the outcome of which is that ECL 2 or ECL 3 get increased. So it has been put into the system as we speak today. So as long as the Hong Kong situation do not deteriorate in terms of the CRE valuation, I think we are quite comfortable.

To give you another point is that our provisioning policy has been quite conservative. And based on some of the recovery actions we have done in the past, it is more or less in that ballpark.

Aakash Rawat*UBS Investment Bank, Research Division*

And the second question then is on the dividend. So based on the current payout policy that you have committed to 60% for this year, I think the way earnings are trending, it's a good chance that your earnings would be down 5%, 7%, 9% year-on-year. There's a good chance that the absolute EPS might be lower. So last year, it was SGD 101. This year, it might be SGD 95, SGD 96. I just want to get a sense, are you okay with the absolute EPS going down despite the fact that you still have a lot of excess capital buffer to be able to keep it flat year-on-year?

Pik Kuen Wong*Group CEO & Non-Independent Executive Director*

Okay. I want to reiterate that we have a dividend policy, and we want to be very transparent with our investors, right? In the past, we have considered paying above our dividend policy. And do not forget we do have a commitment of a share buyback plan as well. Whether we would consider a different level of dividend, depends a lot on how we see our balance sheet and capital position, right? And so I can't tell you will we pay more, right? But dividend policy is a dividend policy, meaning it is very clear. So if you have the percentage, that means we are paying at least that amount out from our profit. But will we pay more, then it will depend on how we look at our capital position. Chin, do you have anything to add?

Aakash Rawat*UBS Investment Bank, Research Division*

It should not be ruled out the possibility of a flat EPS year-on-year.

Pik Kuen Wong*Group CEO & Non-Independent Executive Director*

It should not rule out. I wouldn't say that, but I would just say that in the past, we have experience of paying above. It doesn't mean that we necessarily will repeat it. But it's all the time, we will consider our capital position before we decide our final dividend.

Chin Yee Goh*Group Chief Financial Officer*

Yes. Adding on to what Helen has mentioned, you notice since we announced our dividend policy in early 2023, right, for interim dividend is always 50%. And we said that's a target 50% dividend payout barring unforeseen circumstances, and we have delivered that 3 years in a row for interim dividend. Now your question about whether our -- I mentioned -- we have mentioned 60%, right, overall dividend payout ratio for FY 2025 as part of our capital return plan, and that makes up 10% -- that comprises 10% of our dividend, which are in special dividend form.

Now at the end of the year, when we look at our final dividend, that is when we will really take into account various sort of factors to decide whether we want to go beyond like 50% ordinary dividend. And as you can see in the past 2 years, FY '23 and '24, we did go beyond right? We paid 53%. And this is an exercise that we will continue to do. And what we look out for are really our position, what are the capital needs to support our business growth, to support strategic initiatives in our corporate strategy, are there any market headwinds whereby we need to set aside more buffer to navigate uncertainties.

And of course, there was a question to Teck Long, right, on inorganic opportunities. There were also -- I'm also very aware that we should set aside some dry powder, right, for new CEO who may want to go shopping, although I'm very glad that you say that yes, valuation matters a lot. So okay. So these are really a lot of factors that we take into consideration in our comprehensive sort of capital return plan, as I mentioned before, as well as going forward position on dividend payout.

Aakash Rawat*UBS Investment Bank, Research Division*

So just the third question is on the cost. There was a bit of reduction in staff costs quarter-on-quarter. So I just want to understand, is it part of some initiative? Or is it just accruing bonuses in different quarters of the year? What drove that staff cost reduction Q-on-Q?

Pik Kuen Wong*Group CEO & Non-Independent Executive Director*

Partly it is because of economic activity, right? Because if you -- some staff are remunerated with performance. And so if your results number is lower, so potentially that's lower, too. And partly also, we haven't really grown our headcount much, which is part of our tight cost control and yes.

Aakash Rawat*UBS Investment Bank, Research Division*

We can stay at that level, right, the staff cost?

Pik Kuen Wong*Group CEO & Non-Independent Executive Director*

I hope so.

Aakash Rawat*UBS Investment Bank, Research Division*

And then what's -- finally, what's the plan with GE? Like if the relisting does not happen, are we back to square one in trying to figure out what's the next step here?

Pik Kuen Wong*Group CEO & Non-Independent Executive Director*

There is no back to square one, we increased our stake in GE as we have planned. And as I said, the discussion with GE continues. It's not a discussion so simply put. It is really working together. I think Greg can testify to that. We talk about so much more different opportunities and how we can actually pull resources together, realize better synergies as well. So I don't think we are going back to square one. But we did say that we have achieved what we want to set out to do. I mean we don't guarantee that you can achieve the listing because it is up to the minority shareholders.

So -- but the whole point is we did increase. So that means GE's contribution to OCBC Group will be bigger going forward. I like that fact. And then we'll see. I mean why don't we wait for the results of this policy issue and then we talk. But it is -- we also said that this delisting offer, exit offer is to help GE -- to support GE. I don't like the word help as well, is to support GE to resolve the suspension. So that is why if you look at the EGM, the regulations are all out there.

We are not waiting for anything to say that if the delisting does not happen, then we then come back and think about it because we want to help them to resolve this. We thought the proposal of the bonus share and the Class A share is a very valid resolution to support GE to resolve the suspension, right? So let's see how that is like, meaning that we don't really have any imminent plan to launch yet another offer.

Aakash Rawat

UBS Investment Bank, Research Division

Minority shareholders opting for Class C also, and I think it puts you in a difficult -- if the minority shareholders also opt for the Class C share. If they do, if they opt for the Class C share.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

Then we'll see the reserve.

Aakash Rawat

UBS Investment Bank, Research Division

What's the deadline for this? Could you remind us? What is the deadline? Like when do we find out?

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

2nd of August. Yes, 2nd of August. But just remember, if they are not picking Class C, they don't need to do anything. That means they will receive the bonus share.

Unknown Attendee

Maybe at the front, Jayden from Macquarie.

Jayden Vantarakis

Macquarie Research

Congratulations, Teck Long on the appointment. And Helen, it's hard to believe 4.5 years, time flies. So I'm wishing you all the best as well.

So I had a couple of questions just on -- more on the NIM and the deposit side. So I think, Chin Yee, you said that we had an exit NIM of 1.88%, and we are expecting some good momentum from some of the deposit rate cuts. Can you help us to sort of quantify this? And maybe also to think about what the quantum would be from the reductions in the 360 account because I think that was one of the important factors that you mentioned. If you can sort of help us to size this up, that would be wonderful.

Chin Yee Goh

Group Chief Financial Officer

Yes, not so much going right into the quantum. But what we are expecting is -- I also give you the rates assumption for the benchmark rates. From 1.8%, we expect a little bit of inflection upwards rather than stay at 1.88%. And the assumptions are really, firstly, on the deposit cuts that Helen has already mentioned. And secondly, we expect the SORA and HIBOR to stay steady at current levels. And I mentioned about 3 rate cuts, right? Looking increasingly possibly to more 3 rate cuts.

Now we -- using the 3 rate cuts assumption, we assume historical transmission rate to the 2 key rates, right, of HIBOR as well as SORA. So for HIBOR, 100% transmission from the 3 rate cuts. And for SORA, it is like 50%, 60% transmission, so lesser degree. Now based on this, we still -- we expect our second -- third Q and 4Q NIM to be above the exit NIM. So that's why we still give 1.9% to 1.95%. It is likely to come closer to the higher end if all my assumptions come through.

Of course, depending on why we give a range, right? It is also barring a sharp drop again. And then with that, we also look at volume growth to make up for some of the possible drop further in the rates. And as a result of which this time around, we also give some guidance in terms of NII, right, sort of mid-single-digit percentage drop. Just to put into some perspective of what sort of assumptions that we have put through and then the NIM guidance as well.

Jayden Vantarakis

Macquarie Research

Yes. Okay. But I think all of the factors that you just described are actually like negative for the NIM, right, because if we're saying there's going to be more rate cuts. So then are we sort of saying that there will be some management of the overall deposit portfolio? Like the LDR has come down. Are we saying that we're going to let some expensive funding go? Maybe if you could elaborate a bit more.

Chin Yee Goh
Group Chief Financial Officer

No, you see, we always welcome deposits in the sense that, remember, we were also deploying liquidity, right, into the treasury markets assets, right? This is where if we have more deposits, we can let go of some of the wholesale funding as well, right? So -- and deposits to us is franchise.

So it's all around managing funding costs as well as being able to still keep the volume to grow NII. But that could be at the expense of NIM, right, because our interest-earning asset base would grow as well. So it's a delicate balance of NII as well as NIM.

Unknown Attendee

Jayden, may be easier if you pass the mic back to Harsh. Harsh from JPMorgan.

Harsh Wardhan Modi
JPMorgan Chase & Co, Research Division

A couple of questions. One, if I look at the guidance 190 to 195 and Chin, you said probably higher end of that range. But even at higher end, it is flat NIM mathematically. Mid-single-digit loan growth kind of in line with YTD, maybe slightly lower. Cost/income ratio of low 40 means slightly higher than first half. Credit cost, 20%, 25%, again, higher than first half. So it looks like half-on-half, metrics are worsening or weakening on half-on-half basis. Is that a fair read? Or all of the guidance lines are very conservative and hence, most likely as in I'm unable to reconcile that a bit of a positive commentary overall, but if I look at the numbers, it seems like half-on-half would be deteriorating.

Pik Kuen Wong
Group CEO & Non-Independent Executive Director

Thank you for that comment. I thought in the very beginning, the first question is how is the tariff situation, right? The uncertainty is still there. I think you -- in the beginning of the year, probably not a lot of people expected even further escalation in the Middle East situation, right? So I want to say whether you say this is prudent or what, it is uncertain. We hope that it will be better, right? But it is uncertain. And Teck Long also said that there were some -- the first half, we also see that there's a little bit of preselling, right, doing more export first before the tariff comes in.

So now that some of the tariff rates have been affirmed, what exactly will happen and what exactly will happen to the customer? Yes. We see the -- we do see our momentum because you can look at your loan growth. But eventually, would it be even be tighter priced because people do rush to the better quality loans, right? Yes. So that means the margin could be tighter. So -- and I'm not saying that this would certainly happen. I don't really have a crystal ball. This is really how we actually see the situation. We don't want to -- we never are overly aggressive anyway in looking at our numbers.

I thought -- and when we feel that we need to revise it, we revise it, not the NIM situation. We also don't want to overpromise. So just hope that -- I mean, there's no straight answer to your question because it is still uncertain. And as said, till today, we don't know the situation with China as yet.

Harsh Wardhan Modi
JPMorgan Chase & Co, Research Division

Fair point. And then the second question coming back to NIM. because some of the assumptions, if you think about HIBOR, SORA have not really held year-to-date. HIBOR movement have been significant, right? And there were other drivers that was dollar strength. Again, SORA movement, we are down 200 basis points almost year-on-year. So the normal pass-through from Fed rates to Sing dollar rates has not exactly happened.

So over the next, let's say, 3, 6 months, first, what is your exit NIM in second quarter? And next 3 to 6 months, if some of the similar trends continue and we have a meaningful gap between Fed rates or SOFR and HIBOR and SORA, then can we get to the lower end of your margin range? Is that where that margin of safety you have built in your guidance?

Chin Yee Goh

Group Chief Financial Officer

Yes, that's possible. I mean if you look out mathematically, and I'm sure all of you have done that at 1.9%, the remaining 2 quarters will be below that, right, 1.82% or something like that, right? So that sort of could possibly happen if the -- my assumptions on steady SORA and HIBOR, only the -- and historical transmission from the Fed rate cuts did not hold, right? And you can see how much -- and you yourself mentioned how much SORA has fallen and how much HIBOR has fallen in the first half.

So if they continue to fall in this sort of range, 1.9% is a possibility. And that is where how do we -- how are we able to bring in volume to be able to at least bring -- stabilize our NII will lead to NIM coming off straight away. We really have to balance this. And to us, NII is important.

Harsh Wardhan Modi
JPMorgan Chase & Co, Research Division

And exit NIM, Chin Yee?

Chin Yee Goh
Group Chief Financial Officer

Sorry.

Harsh Wardhan Modi
JPMorgan Chase & Co, Research Division

Exit NIM in second quarter, what was that?

Chin Yee Goh
Group Chief Financial Officer

Yes, I mentioned it's now 1.88%.

Harsh Wardhan Modi
JPMorgan Chase & Co, Research Division

1.88% Okay. And sorry, in the final question on this weakness in SORA, this departure from SOFR, any broad thoughts why that is happening? And any reason why that could change and go back to historical assumptions, relationships?

Chin Yee Goh
Group Chief Financial Officer

I think for HIBOR, it's clear, right? There was the Hong Kong government defending the pack as a result of which there were really flush liquidity. For Singapore SORA is again, really a lot of liquidity coming in.

Unknown Attendee

Harsh, pass the mic to Nick in front of you.

Nicholas Lord
Morgan Stanley, Research Division

Again, good luck in your retirement and congratulations, Teck Long. Just coming back on the NIM point, and I've got a question on Wealth Management. Can you maybe help us a little bit by giving us -- I mean, effectively, your banking NIM, I guess, came down 10 basis points, whatever. I mean you've got the 2 basis point impact from the deployment to HQLA or even just on a loan basis, can you give us a breakdown percentage-wise between the importance of the move in HIBOR and the importance of the move in SORA in driving that shift down in asset yields or banking NIM?

And then maybe you can help us just in terms of that sensitivity. I mean, as Harsh points out, obviously, the relationship between Asian rates and U.S. rates has completely broken down in the last few months. Yes, that's likely to persist. So is it possible for you to give us that sensitivity by currency? So how much of it, not precisely on basis points, but you've 1/3 of it is U.S., 1/3 of it is Singapore dollar rates, 1/3 Hong Kong rates, whatever?

Because there's -- I mean, very important point here is that if HIBOR is a big driver of what's happened, I mean, obviously, the future is expecting that HIBOR doubles in the next 3 months or 6 months. So it's very difficult for us to sort of work out what would happen to your NIM unless we know the currency sensitivity. And I have a second question.

Chin Yee Goh

Group Chief Financial Officer

Yes, we did give NIM sensitivity, but across the 4 major currencies, right? Yes. And then I also did give a breakdown of our sort of like about 50% of our loan book in Sing dollar as well as Hong Kong dollar and also the repricing profile, 80% of Sing dollar assets reprice -- sorry, 80% are on floating rates. And then for Hong Kong dollar, almost the full are on floating rates. And usually, the repricing for Hong Kong dollar is fairly quick, right, 1 month, majority of that and then some are on 3 months basis.

And having said that, usually, when we look at NIM sensitivity is over 1 year, that also assumed that the reprice of the deposits kicked in. Why we are seeing such a high impact on our NIM due to the sharp drop, right, in SORA and HIBOR just in second quarter alone also is a reflection of the lagging effect of some of the deposit repricing kicking in. For Hong Kong dollar, the deposits are actually also quite sensitive to rates, but they reprice longer compared to the repricing of the asset side, Hong Kong dollar. So...

Nicholas Lord

Morgan Stanley, Research Division

To put it in a way, of your 14 basis point NIM decline Q-on-Q. Yes? 2 basis points was -- I think it was 14 12 -- sorry, 12 basis points. 2 basis points was because of the...

Chin Yee Goh

Group Chief Financial Officer

Yes, because a large base of the deployment into the high-quality assets that I mentioned in the first quarter. So there's still a lagging effect of that average sort of volume effect that come in, in the second quarter, yes.

Nicholas Lord

Morgan Stanley, Research Division

Okay. And then 10 basis points was because of movements in the loan and deposit spread. Is it fair to say that 2/3 of that was HIBOR? I mean, bear in mind that HIBOR came down 300 basis points and 1/3 in dollar. Is that a fair guess?

Chin Yee Goh

Group Chief Financial Officer

That's a fair guess because HIBOR in the second Q alone dropped 220 and 300 basis points, right?

Nicholas Lord

Morgan Stanley, Research Division

Okay. So that's a good range. And then just on your sensitivity on the pass-through rate cuts. Everything remains linked. So if we saw 3 rate cuts in the U.S., you would assume that HIBOR came down 75 bps as well. That's how we should think about that sensitivity.

Chin Yee Goh

Group Chief Financial Officer

Yes, yes.

Nicholas Lord

Morgan Stanley, Research Division

Okay. Perfect. And then sorry, secondly, just on wealth management. Any -- can you give us any split between where the net new money came from between CFS and Bank of Singapore? So you've given us the SGD 4 billion in the quarter. Any indication -- SGD 9 billion in the half, any indication as to was it 50-50 or 25-75?

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

We don't normally give that split, but I think I can say that both have registered good growth.

Unknown Attendee

Yong Hong from Citi.

Yong Hong Tan

Citigroup Inc., Research Division

Also maybe just following up on the wealth management. Just wanted to check if there's any change in the product offering or changing customer behavior? Or even are you seeing higher lending in wealth driving leverage simply because the rates have come off. I think where I'm coming from, just wondering how sustainable this wealth momentum is and whether is it due to one-off volatility or some structural shift behind the scenes?

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

I ask Jason and maybe Sunny to talk a bit about the trends and behavior of customers in wealth and then Teck Long to cover the SME a bit on that.

Sunny Quek

Head of Global Consumer Financial Services

Sure. I'll start with the Bank of Singapore. So for our client base, actually, although we were relatively worried about Liberation Day, as you can see from the markets, they continue to show strength and they continue to grow day after day. So we've seen clients actually across the board do a lot of trading and structured products and continue to trade into the volatility of the market. Leverage has actually been relatively, I won't say muted, but it's not as big as we anticipated because I think there is still that fear of drops in the market.

So we haven't seen outsized leverage. In addition, we've also grown at least in the Bank of Singapore quite a lot of our fee-based business this year alone. So we've grown quite significantly and to create a more resilient revenue within the Private Bank, but it's much more broad-based and not so one-off, as you may imagine.

Teck Long Tan

Executive VP, Head of Global Wholesale Banking & Deputy CEO

Yes. For consumer side, we do see a pretty much broad base in all the assets like treasuries, the bonds and structured products. We also do see our bancassurance growing quarter-on-quarter. And of course, we do have some new products together with GE, and that's also helping us to grow our bancassurance both in TWP, our MBE and also our revenue portion.

On the loan side, leverage side, we're also seeing a pretty much good growth on the consumer side as well. And given interest rate environment likely to remain low, we do see that there probably could be a sustained on the leverage portion as well.

Sorry, I didn't quite catch the part on the SME. You're asking about wealth or -- only wealth, right? Okay.

Yong Hong Tan

Citigroup Inc., Research Division

And maybe also following up on rates, given that rates have moved quite a bit in Hong Kong and Singapore. And I think the last 2, 3 years, Greater China saw lots of repayment. Can we expect loans from Greater China to also pick up from these levels partly due to lesser repayment?

Teck Long Tan

Executive VP, Head of Global Wholesale Banking & Deputy CEO

I presume you are referring to the repayments from China companies because of cheaper RMB. Is that the question?

Yong Hong Tan

Citigroup Inc., Research Division

More competitive HIBOR.

Teck Long Tan

Executive VP, Head of Global Wholesale Banking & Deputy CEO

More competitive HIBOR.

Yong Hong Tan

Citigroup Inc., Research Division

Onshore rates and because rates are lower, are you more comfortable to grow China loans book?

Teck Long Tan

Executive VP, Head of Global Wholesale Banking & Deputy CEO

Yes. We haven't seen customers moving from RMB financing to HIBOR because HIBOR is seen as a short-term situation. So for some categories, they may use Hong Kong dollars, but the major trade currency remains U.S. dollars. And for Chinese companies, to the extent that their home currency is renminbi, they still continue to tap renminbi. That's what we have seen.

Let's not forget the very intense price competition among the Chinese bank within domestic China, which is the single largest source of RMB. So the tapping Hong Kong dollar, I don't think that is a major -- I don't see that as a structural change at the most is a temporary situation.

Yong Hong Tan

Citigroup Inc., Research Division

And final question, maybe something more short term. One of your assumptions was SORA was 3 months SA, I assume, will be flat throughout the year. If you look at 1 month SORA, it is 30 basis points behind. So should that also be a risk to the NIM guidance you provided?

Chin Yee Goh

Group Chief Financial Officer

Under current market conditions, predicting interest rate is getting to be something that I've given up doing.

Ching Ching Koh

Head of Group Brand & Communications

Okay. Pass to Felicia from the Edge.

Unknown Analyst

Felicia from the Edge. I have 2 questions. One is more of a follow-up. First of all, I note that the ECL, I think you guys said it's estimated to rise by SGD 2.63 billion from SGD 2.16 billion or SGD 2.17 billion last year. This is -- should all Stage 1 exposures migrate to Stage 2. What is the probability of such a scenario occurring? And what indicators are you guys looking out for that might trigger such a migration? And my second question is, are there customer loans in private banking that have been downgraded from ECL 1 to 2?

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

You are talking about ECL on the general book and then private banking?

Unknown Analyst

Yes. The first one is general book. This is, I think, Page 10 on your financial statements. And the second one is specifically on private banking.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

You are asking whether we will do more or what are you referring to, I'm sorry.

Unknown Analyst

You guys said that the ECL is estimated to rise, but this is in the event if all Stage 1 exposures migrate to Stage 2. So we were just wondering about the possibility of such a scenario happening? And what are you guys looking out for that might trigger that?

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

I don't think we can provide an answer on what -- how the migration is going to work because it's -- I don't think I can have an answer to that. You were trying to ask because...

Unknown Analyst

We just noted that you guys are looking to -- your ECL is estimated to rise, we were just wondering whether -- what is your probability or what's the possibility of all of your Stage 1 exposures migrating to Stage 2?

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

We don't -- yes, I don't think we can provide an answer on that. Let's pick this up. I really want to understand what exactly you want, but we can pick it up after the call.

Unknown Analyst

So it's a question on the -- because I think it's the consumer banking and the private banking loans are in your NPLs at SGD 148 million. So -- and you said there were just a few accounts of this. Are there any more that you're likely to see in that bucket?

Yi Sin Moo

Chief Executive Officer of Bank of Singapore

I'll take it from the private bank side. We are always constantly monitoring our loan book exposure. Right now, we don't see anything in the pipeline that causes us any concern, any worry that it would increase. And as I said, as I mentioned before, all of the loans that we are currently classifying this, it's part of our prudent approach. They're well secured and well securitized. So we feel confident about working through them, and we don't have anything in the pipeline that causes any concern.

Ching Ching Koh

Head of Group Brand & Communications

So I'll pass it to [indiscernible] from China News Asia.

Unknown Analyst

I have a question on leadership transition. So when it comes to ensuring a smooth transition, can you give us some details on what has been done so far, for example, Teck Long, immediate priorities, key areas that you're already starting to focus on and you will be doing more so in the next months -- a few months ahead. Helen, I know we still have a few more months to go, but is it possible for you to do a brief look back on your past 1.5 years as CEO? And what do you think was the biggest challenge you faced?

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

Shall we do that in January. I think it's too early to say. I am reflecting on what has happened, right? Of course, I'm very happy we have Teck Long. I'm actually very proud that I managed to convince him to join OCBC 3 years ago. So I think reflection is something I will do later on in the year, not now. I still have a job to do. We still have to deliver. We still want to be able to make sure that our year-end results is not at least live up to expectation on our plan.

Teck Long Tan

Executive VP, Head of Global Wholesale Banking & Deputy CEO

Yes. I will approach this question from 2 perspectives. One is I'm actually part of the senior team. I'm on the Management Executive Committee working very closely with Helen and the rest of my colleagues. So I do not just cover my own department division. I actually cover a little bit broader where I can contribute, I contribute. And having -- being someone who is actually very familiar with the customer base and having operated across many divisions, I have been working very closely with Helen on many things. So in that sense, it paves a good ground for the succession. Of course, we didn't expect that the succession is. I mean, when I joined 3 years ago, we have been working together very closely.

Now the second thing is that recently, because the bank is forward-looking, we have been -- we have set up a unit called a task force called the strategic resilience group. The strategy resilience group took into account what's happening in the world where there's a

little bit of geopolitical tensions in the North Asia, in Middle East, and it affects also, for example, shipping routes of our customers, et cetera, et cetera. And we also took into account the advent of AI as a fast-moving, fast developing space.

So because of many reasons, we decided to set up the strategic resilience group, and I chair that group. So on that group, there are some core members such as the CFO, the CRO, Head of Global Markets and our technology head and also we include some business heads. So together, we have been charting and making recommendation on how we should position the bank. So that's a much wider mandate than my GWB mandate. I will report to Helen and on this strategic resilience group recommendations.

There is also another forward-looking set of task force looking at certain businesses, which we should grow. That is what we call Bank of the future task forces. So you look at a specific area on how to improve wealth further, how to get synergies from Great Eastern, the insurance arm and our wealth, et cetera, et cetera. So I'm actually a co-Chairman together with our transformation group.

Unknown Attendee

Melissa from Goldman Sachs.

Melissa Chua

Happy retirement, Helen, and congratulations Teck Long. I just had 3 questions. Just firstly, back on the NIM. In terms of the NIM, in terms of cash flow hedges, do you still have that on your NIM? And what will it be if it wasn't -- if you didn't have these hedges? Just wanted to understand like after we've seen the fall in terms of the Fed cut, do we anticipate that NIM will continue to roll down after that as the hedges roll off?

Chin Yee Goh

Group Chief Financial Officer

Yes, the effect of the cash flow hedges, which we put in, in 2023 and 2024 are still there. So it does help a bit.

Melissa Chua

Right. So we will see the roll-off happening after the Fed cuts and then after the year ends, we will still see some pressure coming.

Chin Yee Goh

Group Chief Financial Officer

Yes. So the effect of cash flow hedges will end when we put cash flow hedges, it's like for 2 to 3 years. So when the 2 to 3 years mature, that's where it will taper off.

Melissa Chua

Okay. Then I think then into the next question in terms of your ROE target. I guess previously, you mentioned ROE targets of 14% in the medium term. I guess given the environment, it might be a bit tough. But do you have any thoughts about what the ROE targets in this current environment would be for medium term?

Chin Yee Goh

Group Chief Financial Officer

Yes. So I mean, if you look at the mix of our business, right, we are over the years, we have been trying to raise the noninterest income, right? And this is where we do see increasing proportion of our total income shifting towards noninterest income and the integrated financial services group that Teck Long mentioned is really a very key part of moving our composition of revenue into more fee-based sort of income, right? And this is where -- this is sort of a long-term sort of plan to really shift towards higher ROE because as we -- if we are still very reliant on loans, NII and that's where the RWA will creep up and usage of capital will go up as well.

This is where we will have to maintain a larger proportion of fee to be able to sustain those business, bringing in more and more fee trading income, customer treasury flow trading income, so on and so forth are really part and parcel of a long-term sort of goal to bring our ROE up. If you recall in the past, when interest rates were low, ROE was like 11% or sometimes even less than 10%, right?

But now we -- now even for the second Q where our NII were pretty impacted due to the rates that we've mentioned, annualized basis is 12.6%. So this is where we do see a larger proportion of wealth fees, the momentum that we mentioned, start showing some results of that. And then insurance income making up a bigger proportion of our earnings as well will also help.

Melissa Chua

Would you say like we won't be at 14%, we can be at 13% in the next 2 years, perhaps?

Chin Yee Goh

Group Chief Financial Officer

Yes, that's certainly a handle that I want to work towards. 14% at the time was when NII was still quite a big factor. Right now that we know NII is softening and then how much we can grow our fee as well as trading income to make up for that will determine how fast we can move towards the 13-plus percent over how many years.

And also, we still have our share buyback, capital return plan, which will also help in a way in terms of the ROE as well. So these are various areas that we are looking at to really be able to sustain a higher level of ROE under a low interest rate environment, let's say, not the sub-11% anymore.

Melissa Chua

Okay. I think lastly, in terms of Great Eastern. We didn't get the full privatization. But does that change any of the plans that you have with them? What could you have done differently if you had full privatization versus not in terms of the forward-looking synergies working together, capital optimization, what changes?

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

I think let's clarify. We were never talking about privatization in a way. I mean, of course, we use it very loosely with delisting. GE is a very old company. It probably will never have 100% of GE in that sense, right? But I thought the -- there are always 2 things on this whole visual last year on GE. The first one is definitely the use of our capital, right? We want to buy into an entity that we know very well. And I mean, you're always keen to ask me, Helen, what's your M&A plan. And to an extent, buying into GE, you can see it is more like an M&A because I am increasing stake in investment. But we chose GE because we know them.

And instead of having to assess whether to go outside and buy something that we do not know, we thought that was a very good move, and we like GE all the way. And so we did that. So delisting should help a bit more because, of course, if they stay as a listed company, there are listed rules to adhere to and may impact some of the related transaction, right, and all that. But it doesn't mean that we cannot work on a lot of things that we want to work together.

But I thought this show of our wish to increase in the -- in our economic stake in GE is also a very -- alongside that, a very keen as that together we can actually work better because having high economic stakes means that you will do more to make sure that they also generate more profits, right? Otherwise, you earn more economic stake of worse company. That's not the way. So that's why I don't -- I would say that it is also a very strong signal to say that we are intensifying all the efforts that we have been doing and identifying new areas that we can work together. So delisting or not does not impact that. But of course, the delisting is a signal that we're truly intensifying the way we work together.

Melissa Chua

Okay. Then maybe just a follow-up. In the \$900 million that you set aside for this delisting to happen on the second phase. Now that, that's no longer there, what are you considering for it? Does it go back into the port for inorganic? Or would there be consideration of hopefully raising dividend?

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

It goes back into the port of the capital. And we do think that whether we would have anything we want to do, depends on how we evaluate the whole capital situation. Yes.

Ching Ching Koh

Head of Group Brand & Communications

Because we already passed 11. [indiscernible], a quick question, the last one.

Unknown Analyst

I have lots of questions, but I'll just ask 2, and they're to Teck Long. And I'm just wondering whether he will continue your One Group strategy. And also, one of the reasons that I think Helen was very appreciated by shareholders is she changed the dividend strategy to raise the payout to 50%. Now I just wanted to know what your philosophy is on capital management and dividend payout. And she preferred dividends to being pressured by these analysts to do these share buybacks. Now what's your philosophy on that? That's it.

Teck Long Tan

Executive VP, Head of Global Wholesale Banking & Deputy CEO

On One Group strategy, I have indicated that for us, we are integrated financial services group. So certainly, there's synergies to be out of that. And therefore, certainly, we will continue with elements of that.

The second question is not so much philosophy. It's professionally I don't feel pressure, right. It's a question of like what is the capital, what's the optimal capital we need to hedge these uncertain times. It's a question of how do we kind of look at value adding to the shares.

So there are multiple considerations. What I'm really focused on right now is the strategy of how to continue to grow our franchise. I think that's the most imperative task for me.

Ching Ching Koh

Head of Group Brand & Communications

Okay. All right. I'm on. Thank you, [indiscernible], for the last question, and thank you, Teck Long for ending that very well. You should hear from Teck Long more on next year. But with that, thank you very much, everyone, for joining us this morning, and have a good day. Thank you.

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